

Case, Dale

From: Sarah Lorang <lorang.sarah@gmail.com>
Sent: Tuesday, April 11, 2023 7:22 AM
To: Laws, Martin; Harden, Dyan
Cc: #CodeCompliance; Case, Dale; Pearlman, Ben; Stolzmann, Ashley; Levy, Claire; Loachamin, Marta
Subject: [EXTERNAL] ZON-23-0003 - Feedback on Letter Posted + "Lyons Expansion Project" Data
Attachments: The 1997-2000 Lyons Plant Expansion Project.pdf

Dear Martin and Dyan,

Good morning! I hope this email finds you well. I wanted to reach out about two things - first, to address CEMEX's letter posted on the County Portal last week, but also to provide more data regarding the 1997-2000 "Lyons Expansion Project".

Regarding the latter, I have attached a PDF for your review which summarizes the 1997-2000 "Lyons Expansion Project" and the major implications that carries, along with source document attribution. This is a complex topic involving hundreds of source documents from CDPHE and EPA, so hopefully this helps everyone understand the timeline of events in a simple, digestible manner and can aid you in your investigation.

Regarding CEMEX's letter, thank you for posting CEMEX's letter dated March 24th, 2023 on the County Portal. Unfortunately, despite the lengthy delay required for CEMEX to provide its carefully constructed response, it raises more questions than answers, many of which I'm sure you're already asking:

- Why did they only provide data for 2020, 2021 and 2022? What are the data points dating back to 1969, when the plant was completed?
- The inbound shale is clearly increasing, particularly in the last two months of 2022, but why didn't they provide a month-by-month breakdown of tons inbound/outbound by material?
- What are the types of the trucks used? There is certainly a difference between a half-ton truck and a 35 ton truck, but the data doesn't differentiate, only listing the quantity of trucks. The types of trucks certainly matter, as evidenced by the complaints of local residents who have lived in the area for decades.
- The trucking data appears to be produced from a simple spreadsheet. What is the underlying source of the data? How do we go about assessing the veracity?
- The inbound Limestone tonnage figures aren't close to the "tons produced figures" reported by the source Weaver Mine in Wyoming on an annual basis, and CEMEX does not list any other destinations for its Limestone other than the CEMEX Lyons plant in the Wyoming Annual Reports. What accounts for the discrepancy?
- Why didn't CEMEX provide month-by-month data on stockpile volumes and inventory of various materials instead of a photo from 2004? As a public company, tracking this information would be standard procedure under GAAP or IFRS principles, in addition to tracking required data for CDPHE for end-to-end processes.
- Can CEMEX please provide details on the specific outbound shipments of the Cement Kiln Dust (CKD), including their destinations and the specific truck configuration used to transport this substance off property?

For further context, when Dowe Flats became operational in 1997, it became the primary source for Limestone and Shale for the Plant, replacing the onsite Lyons Quarry and the Larimer Quarry 11 miles north of the Plant.

This minimized, if not altogether eliminated, the need for inbound Limestone trucking of hundreds of thousands of tons per year for nearly two decades.

However, the Limestone resources were eventually depleted, and CEMEX began importing Limestone from the Weaver Mine via truck near Laramie Wyoming (Permit #658), which was acquired by CEMEX on September 18th, 2018, from Mountain Cement Company. The need for inbound trucking of Shale of hundreds of thousands of tons per year was also minimized, if not altogether eliminated, until the 25-year Dowe Flats Special Use Permit expired on Sep 30th, 2022.

As such, this type of offsite truck volume has not been seen and experienced since the 1990s (and very likely not ever) as the inbound trucking of both Limestone and Shale was abandoned for decades. Furthermore, the inbound routes the trucks are using today are much different than anything we've seen this century, as the source mines are different from those decades ago. In addition, since that time, the surrounding area has changed substantially.

Now, the alterations and more intensive trucking have clearly created a nuisance and serious public health hazard. In light of these concerns, I urge you to continue your investigation into CEMEX's operations and to hold them accountable for any violations of the law or regulations. I appreciate your dedication to this important issue and look forward to hearing from you soon.

Sincerely,

Sarah Lorang
Good Neighbors of Lyons

Summary:

- The Lyons cement production operation has been operating as a pre-existing Nonconforming Use and Structure since the Boulder County Land Use Code was adopted on October 18th, 1994
- From 1997 to 2000, CEMEX's predecessor entity, Southdown ("CEMEX/Southdown"), invested \$10.3 Million in what, according to DOJ and EPA actions, was referred to as the "Lyons Plant Expansion" or "Lyons Capacity Increase" project. This project included major upgrades and construction of new accessories, which expanded the clinker production capacity of the plant by 125,000 tons, from 450,000 to 575,000 tons per year. CEMEX/Southdown performed this project without federal, state or county permits. It's unclear if any regulatory authority was proactively made aware of this expansion project, and the [US DOJ and EPA sued CEMEX/Southdown](#) for these unpermitted upgrades in 2007 and settled in 2013.
- The Lyons Plant Expansion was a major modification and not routine: by [all accounts](#), the "evidence the parties have presented ... makes clear that the changes were something more than mere replacement of machinery with functional equivalents or de minimis changes to operations. CEMEX's own evidence, including affidavits from its employees, makes clear that the modifications involved: (i) "improvement" to the combustion chamber in order to "improve . . . performance, mitigate burnover, and improve fuel efficiency"; (ii) "construction of an onsite oxygen plant" that "enabled the Lyons facility to increase clinker production"; and (iii) addition of a booster fan to "improve the stability of the kiln flame and operation, and to improve clinker quality," among others. No reasonable factfinder could conclude that modifications of these types (whether taken individually or as aggregated components of a single project) could be considered merely "routine" adjustments to the Lyons facility."
- Around the same time as the Lyons Plant Expansion, in 1997, the Dowe Flats mine and conveyor over Highway 66 became operational as a source of Limestone and Shale. This dramatically minimized, if not eliminated, the need for inbound trucking of Limestone and Shale for the next 20+ years.
- However, the Limestone resources were eventually depleted, and CEMEX began importing Limestone from the Weaver mine via truck near Laramie Wyoming (Permit #658), which was acquired by CEMEX on September 18th, 2018 from Mountain Cement Company.

- The need for inbound trucking of Shale was also minimized, if not altogether eliminated, until the 25-year Dowe Flats Special Use Permit expired on Sep 30th, 2022.
- In conclusion, the use and structure has been altered and/or enlarged since 1994, including a \$10.3M unpermitted expansion project, a massive increase in trucking frequency, new trucking routes, new and enlarged stockpiling uses, a change in raw materials being used onsite, increase in harmful air emissions for which the DOJ and EPA pursued action, and a change to the nature of the cement kiln dust (CKD) that routinely becomes part of fugitive dust events in the community.
- These changes since 1994 have caused a more intensive use of the land and its services, a threat to public health and safety, have adversely affected the character of the neighborhood, and created a hazard or nuisance on/off the property.
- These events, along with several other events since 1994, are sufficient evidence that the Nonconforming Use has Terminated in accordance with Section 4-1003 of the Code.
- Sufficient evidence exists for the Land Use Director to send CEMEX a notice determining that the Nonconforming Use has or may have terminated.
- Upon receipt of this notice, CEMEX will have 30 days to provide evidence to the contrary, appeal the decision to the Boulder County ammonium, or file for a Special Use Review.
- The Land Use Code requires Boulder County to terminate the continuation of nonconformity as “speedily as justice will permit”, and we request that the Commissioners direct the Land Use Director to prepare and send this notice to CEMEX immediately.

We respectfully recommend Boulder County ask for the following detail as part of its ongoing investigation:

- Please provide complete historical records from 1969 to 2023 for inbound and outbound cement, cement kiln dust, shale, limestone, gypsum, sandstone, diesel, gasoline, coal, ammonium, etc as well as methods of transport (truck, conveyor, rail, etc).
- Please provide the quantity and/or details of the types of trucks used from 1969 to 2023 (25-ton, 35-ton, etc)
- Please provide details about the “Lyons Capacity Increase” project conducted by your predecessor, Southdown, referenced in the EPA Notice of Violation in 2008.
- Please provide details on the specific inbound trucking routes used.
- Please provide historical tonnage and volume details on each stockpile.
- Based on your recent letter with DRMS dated, producing and selling Cement Kiln Dust (CKD) to the Oil & Gas industry and transporting offsite is a new development. Please provide details on these outbound shipments of the Cement Kiln Dust (CKD), including their destinations, and the specific truck configuration you are using to transport this substance off property.
- Please provide the methods of data collection and the underlying source data for the trucking records.

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Sarah Lorang
 Cell: 303-476-0089
 Email: lorang.sarah@gmail.com